Financial Results and Key Performance Metrics Overview

The following table provides an overview of some of our key financial metrics for each of the last three fiscal years (in millions, except per share amounts, percentages and cash conversion cycle):

	Year Ended		
	April 26, 2019	April 27, 2018	April 28, 2017
Net revenues	$ 6,146	$ 5,919	$ 5,491
Gross profit	$ 3,945	$ 3,709	$ 3,364
Gross profit margin percentage	64%	63%	61%
Income from operations	$ 1,221	$ 1,158	$ 621
Income from operations as a percentage of net revenues	20%	20%	11%
Provision for income taxes	$ 99	$ 1,083	$ 140
Net income	$ 1,169	$ 116	$ 481
Diluted net income per share	$ 4.51	$ 0.42	$ 1.71
Operating cash flows	$ 1,341	$ 1,478	$ 986

	April 26, 2019	April 27, 2018
Deferred revenue and financed unearned services revenue	$ 3,668	$ 3,363
Cash conversion cycle (days)	3	(14)

- *Net revenues*: Our net revenues increased 4% in fiscal 2019 compared to fiscal 2018. This was primarily due to an increase of 7% in product revenues, partially offset by a 3% decrease in software and hardware maintenance and other services revenues.
- *Gross profit margin percentage:* Our gross profit margin as a percentage of net revenues increased by one percentage point in fiscal 2019 compared to fiscal 2018, reflecting an increase in gross profit margin on product revenues, and, to a lesser extent, an increase in gross profit margin on hardware maintenance and other services revenues.
- *Income from operations as a percentage of net revenues:* Our income from operations as a percentage of net revenues remained relatively flat in fiscal 2019 compared to fiscal 2018.
- *Provision for income taxes:* Our provision for income taxes decreased significantly in fiscal 2019 compared to fiscal 2018 as significant charges were recorded in fiscal 2018 in connection with U.S. tax reform.
- *Net income and Diluted income per share:* The increase in both net income and diluted net income per share in fiscal 2019 compared to fiscal 2018 reflect the factors discussed above. Diluted net income per share was favorably impacted by a 6% decrease in the annual weighted average number of dilutive shares, primarily due to share repurchases.
- *Operating cash flows:* Operating cash flows decreased by 9% in fiscal 2019 compared to fiscal 2018, reflecting changes in operating assets and liabilities, partially offset by higher net income.
- *Deferred revenue and financed unearned services revenue:* Total deferred revenue and financed unearned services revenue increased $305 million, or 9%, as of fiscal 2019 year end compared to fiscal 2018 year end primarily due to increases in the installed base and aggregate contract values under software and hardware maintenance contracts.
- *Cash Conversion Cycle:* Our cash conversion cycle was 3 days in the fourth quarter of fiscal 2019, compared to (14) days in the corresponding period of fiscal 2018, reflecting lower Days Payables Outstanding, higher Days Inventory Outstanding, and higher Days Sales Outstanding.

Stock Repurchase Program and Dividend Activity

During fiscal 2019, we repurchased 29 million shares of our common stock at an average price of $72.87 per share, for an aggregate purchase price of $2.1 billion. We also declared cash dividends of an aggregate of $1.60 per share in fiscal 2019, for which we paid an aggregate of $403 million.

Adoption of Revenue Accounting Standard

As of the beginning of fiscal 2019, we adopted the new accounting standard *Revenue from Contracts with Customers (ASC 606)* using the full retrospective method of adoption. Accordingly, our prior years consolidated financial statements and supplementary data, as presented herein, have been restated to conform to the new rules. As illustrated in Note 7 – Revenue of the Notes to Consolidated Financial Statements, the overall impact of adoption was not significant to prior years. However, application of the new rules to our ELAs resulted in over $100 million of product revenues for such arrangements in fiscal 2019, that are incremental to the amounts we would have recognized under the old standard. Under ASC 606, we recognize the software license fee component of our ELAs up-front, whereas under the prior rules the software license fee was recognized over the term of the ELA.